

However, if the amount of the initial debt were invested for the same amount of time earning 10 percent per year, the results would be as follows:

<u>Amount Invested</u>	<u>Time Invested</u>	<u>Balance</u>
\$500	2.4 years	\$624
\$1,000	6.3 years	\$1,814
\$2,500	13.9 years	\$9,270

This is a telling example of how interest and money can work for us, instead of against us. The magic of compound interest is magnified as the amount to be invested increases.

If Chuck had learned the value of waiting until he could make the purchase with his own money, maybe he wouldn't have gotten so deeply in debt. There is a West African saying, "Borrowing is the first-born of poverty."

It is a good idea to get into the habit of asking yourself ten questions every time you consider purchasing something on credit:

1. Do I really need this item right now or can I wait?
2. Can I qualify for credit?
3. What is the interest rate (APR)?
4. Are there additional fees?
5. How much is the monthly payment and when is it due?
6. Can I afford to pay the monthly payments?
7. What will happen if I don't make the payments on time?
8. What will be the extra cost of using credit?
9. What will I have to give up to pay for it?
10. All things considered, is using credit worth it?

